



Manipulating the stock market

Stock market manipulation can take many forms—such as artificially fixing prices higher or lower—with the aim of interfering with the market for personal gain.

How it works

A trader can manipulate the market by processing a lot of small sell orders in an attempt to drive down the price of a share. This can cause other shareholders to panic and sell their shares, sending the price down even further.

Conversely, a lot of small buy orders may push up a share price to convince other investors that good news is about to be announced. Market manipulation is highly unethical but not always illegal.

Pushing share prices down

- **Large volumes** If a large investor sells off its stock, prices may fall because of an increase in supply. That same investor can then buy the stock back later at a lower price, having locked in profits at the higher price.
- **Short selling** Rogue traders borrow shares that are sold at a high price, then manipulate the price down so that they can buy the shares back at a lower price to return to the original owner.
- **Bad news** If a company issues a profits warning, or a negative report, shares may fall in price.

